

RESOURCEFUL

HIGH-FIVE YOUR FUTURE SELF

BY DEBORAH B. SOLOMON

ILLUSTRATION BY JACQUES KLEYNHANS

FINANCIAL INDEPENDENCE sounds like something boring that only adults care about. But it just means being able to afford the things you need (or want). For kids, it might mean being able to buy concert tickets for the band you love (but your mom totally hates). Or saving up for college, so you can fulfill your dream of becoming an astronaut. Or setting yourself up to buy your own house someday. Whatever your vision, you can start saving money now — and then make even more money by investing your cash. That's when you put your money in an account or use it to buy a tiny piece of a company, and over time it makes a small percentage of additional money. Melanie Mortimer, who runs a national financial educational organization, says kids should start investing with three things in mind: Their goal, the amount of time they have and how much risk they're willing to take. Here are some ideas and how to get started.

THE DREAM: SUMMER CAMP IN 2025
Saving for a short-term goal, like souvenir money for vacation or an outfit for a school dance, requires some strategy, says Mellody Hobson, the leader of an investment firm. You'll want something with a payoff but without any risk, meaning there's no chance of your money shrinking. She and other experts recommend a certificate of deposit (known as a CD). Here's how it works: You agree to stash your money for a certain period of time — from three months up to five years or more. In return, your bank or financial firm agrees to pay you a certain percentage of extra money at the end of that time period. That was easy!
GET THE BALL ROLLING: You'll have to work with a bank to open a CD, so get a parent on-board. They can open a CD account through a bank's website or app, over the phone or by going to an in-person branch.

THE DREAM: SAVING UP FOR COLLEGE
The bad news: College is really expensive. The good news: If you start now, your money can really add up. Experts suggest a 529 account, which is designed just for college saving. Once you enter your expected high-school graduation date, this account will automatically put your money into different investments to make sure it's ready and available when you graduate.
GET THE BALL ROLLING: Almost every state offers a 529 plan. Your parents can help you look yours up online and open an account.
THE DREAM: HELPING OUT YOUR FUTURE SELF
Maybe you don't have any specific long-term goals. That's actually great. You can put your money into stocks, or tiny pieces of companies, and watch it grow. "You shouldn't go to the stock market thinking you can double your money to-

morrow," says Felix Peng, 18, who is the student board president of the Young Investors Society. So where should you start? Mark Cuban, the entrepreneur and former "Shark Tank" host, suggests that teenagers invest in an index fund (or a bundle of stocks) that includes the S.&P. 500 — a group of 500 of the biggest companies in the United States — and leave it there for the long term. If you want to buy into individual stocks, Cuban says to choose companies you actually like and buy products from instead of what's trendy. Take it from Felix: The first stock he bought, at 14, was in a random company he heard about online — and he lost money. But choose right, you could make a lot of money over 10 or 15 years. Cha-ching!
GET THE BALL ROLLING: Investing in stocks is easier than ever, thanks to phone apps. Ask a parent to help you decide on one (there are lots of good websites that give reviews and pros and cons of each), and then deposit a small amount to get started. ♦

● — — — — SCOUR YOUR COUCH FOR CHANGE AND TAKE IT TO A COIN MACHINE. FINDERS KEEPERS! — — — —

MAKE BANK. PLAY WITH LEGOS.

BY CHARLEY LOCKE

HOW TO START A BABYSITTING EMPIRE.

ILLUSTRATION BY ANDREW RAE

SO YOU WANT to make money and learn some life skills but still have some freedom to do what you want. May we suggest ... babysitting? You can make your own schedule, take on more gigs when you need the cash or slow down when it's time to cram for finals. And you'll become an expert in negotiating and the art of saying no. Not bad! Of course, that doesn't mean it's easy. Just ask Sunny Wade, 15, of Los Angeles. Once, she took a 4-year-old she was babysitting to get cupcakes. "I was holding her hand, but the one second that I took my eyes off her, she hid," Sunny says. "She popped up and scared me — you can't take your eyes off a kid for a millisecond!" Still interested? Here are some pointers from experts.

1. LEARN THE BASICS.
Attending a class to learn skills like CPR and how to change a diaper is always a great idea. But it's also good to start by watching over a kid while a parent is still at home. When Sunny was 10, she started taking care of a friend's baby sister while the parents were still around. "It helped me learn what to do and how to take care of her," Sunny says.

2. GET CLIENTS.
The best way to find families who need babysitters? Ask around, starting with people you already know. Ellie and Amelia Panizzi, 13 and 11, of Lake Park, Ga., find most of their jobs through family or their parents' co-workers and friends.

3. SET A RATE.
Make sure you tell parents how much you expect to be paid before they hire you. "If you're not comfortable telling families what you charge, you're probably not ready to babysit," says Rachel Charlupski, who connects caretakers with parents for the Babysitting Company. "You have to set the expectation ahead of time."

4. ASK QUESTIONS.
Every household is different, so you won't always know what a kid is allowed to do. How late can they stay up? PG-13 movies: yes or no? "Always know that you can ask the parents," Amelia says. Catch them on the way out the door, or send a quick text.

5. GROW YOUR BUSINESS.
If you're a trustworthy babysitter, the family will probably recommend you to their friends. And when you're in high demand, you can charge more. "When it comes to asking parents for more money, some people might find it awkward or uncomfortable," Sunny says. "But you should advocate for yourself."

6. HAVE FUN FEELING LIKE A (LITTLE) KID AGAIN.
What's the best part of babysitting? Hanging out with kids, of course! "At first, playing with Hot Wheels and dolls feels kind of silly, because I'm 13, and I haven't played with those in a while," Ellie says. "But then they start smiling, and it gets fun." ♦

CAN'T WAIT

PICK SOMETHING YOU WANT TO SAVE UP FOR, AND GET TO WORK!

I CAN'T WALK AROUND THE MALL BY MYSELF WITH MY FRIENDS YET, BECAUSE OF A RULE IT HAS. WHEN I CAN, I'LL SAVE UP MY MONEY AND SPEND IT WHEREVER I WANT. I WANT TO BE ABLE TO DRIVE THERE WITH MY FRIENDS, SO I'LL HAVE TO BE MAYBE 16 OR 17. Naomi, 10, Pittsburgh